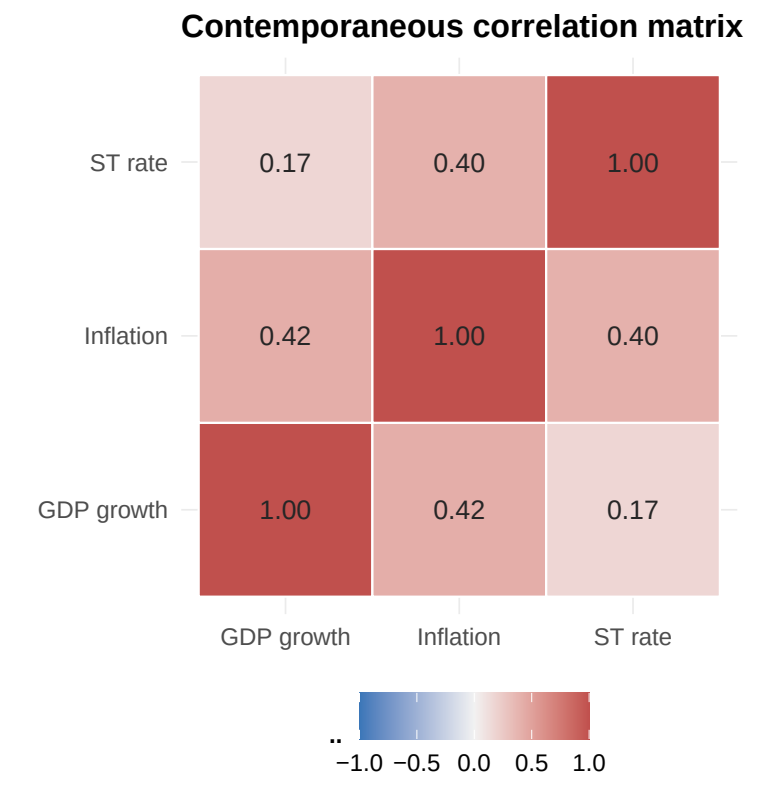
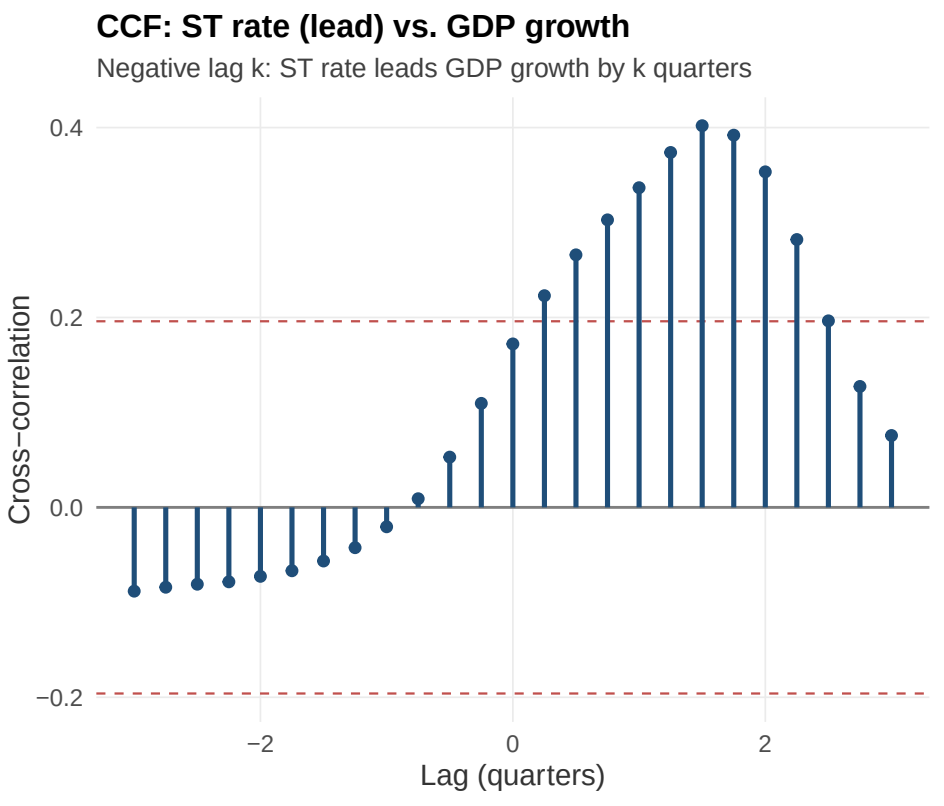

Contemporaneous correlation matrix
ST rate
Inflation
GDP growth
0.17
0.40
1.00
0.42
1.00
0.40
1.00
0.42
0.17
GDP growth
Inflation
ST rate
−1.0 −0.5 0.0 0.5 1.0


CCF: ST rate (lead) vs. GDP growth
Negative lag k: ST rate leads GDP growth by k quarters
Cross−correlation
0.4
0.2
0.0
−0.2
−2
0
2
Lag (quarters)